Denham Lewis LLP
Threadneedle House, 18 Cornhill, London EC3V 3ND

T +44 (0)20 7118 4400 | www.denhamlewis.com

Whitfield Carter LLP

22 Bishopsgate, London EC2N 4BQ

By email: tom.gallagher@whitfieldcarter.com

6 May 2025

Your ref: SW/TG/HAR-09 Our ref: AS/RC/4471

Dear Sirs

Harrow Precision Engineering Limited v Melbourne Sealtech Limited — Letter of Claim dated 14 April 2025

We act for Melbourne Sealtech Limited ("our client"). We acknowledge receipt of your letter of claim dated 14 April 2025 and respond substantively as follows. Liability is denied in full.

1. The supply

It is admitted that our client supplied Type MS-72 cartridge seals to your client under the Supply Agreement dated 9 May 2023. Our client manufactured the seals in accordance with drawing HP-400/SEAL Rev C as provided by your client, and each batch passed our client's standard quality-control regime, including face-flatness inspection. Certificates of conformity were issued with each delivery.

2. Denial of defect

Our client does not accept that the seals were defective in materials or workmanship. In particular, our client's retained batch samples were tested and found to conform to grade CG-218 and to the specified flatness tolerance. Your client's metallurgical assertions are not accepted and will require to be proved by properly instructed expert evidence, tested against our client's own records and retained samples.

3. Causation and application

Our client's investigations suggest that the failures your client describes are consistent with misapplication in service — in particular, operation on abrasive or contaminated water outside the clean/lightly-contaminated duty for which the MS-72 was specified, and/or defective installation of the cartridge (over-tightening of the drive collar causing face distortion). These are matters within your client's and its customers' control, not our client's.

4. Loss

The quantum advanced (£3,485,000) is not accepted and is, on its face, remote and unparticularised. In particular, the claim for £985,000 for the alleged loss of the Pennland Water plc framework is denied: any decision by Pennland Water to terminate is a matter between your client and Pennland Water, is not caused by any breach by our client, and is in any event too remote. Full particulars and supporting documents are required.

5. Limitation and contract terms

Our client reserves the right to rely on the limitation of liability provisions in the Supply Agreement, including the exclusion of liability for indirect and consequential loss and the cap on liability, which we consider to be effective and to defeat the greater part of the claim advanced.

Our client is willing to engage in a without-prejudice discussion but does so without any admission of liability. We reserve our client's position fully.

Yours faithfully

Denham Lewis LLP